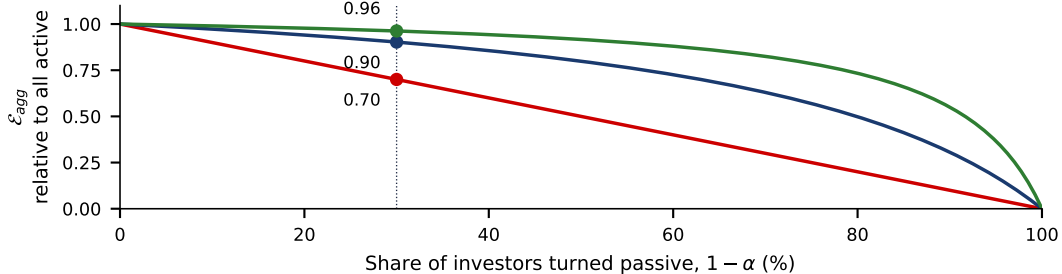


Aggregate elasticity when investors turn passive, eq. (5)



—  $\chi = 0$ : no strategic response (Koijen and Yogo) —  $\chi = 10$ : strong response  
—  $\chi = 2.97$ : estimate (Table 2, row 1)